Average Directional Index (ADX)

Indicators & Analysis / Trend | intermediate | 4 min read | DeepCharts Help Center | August 24, 2026

The Average Directional Index (ADX) is a technical analysis indicator used to measure the strength of a trend in an asset's price. Crucially, it measures strength only — a rising ADX tells you the market is trending, not which way.

That makes it one of the most useful filters in a trend trader's toolkit: it answers the question every trend-following strategy needs answered first — is there actually a trend to follow, or is the market moving sideways?

What it is

ADX plots in its own panel below the price chart. Alongside the main ADX line, the indicator includes the two directional lines it is derived from: the **Plus Directional Indicator (+DI)** and the **Minus Directional Indicator (–DI)**. The +DI line tracks upward directional movement, the –DI line tracks downward directional movement, and the ADX line smooths the difference between them into a single trend-strength reading.

The result: direction comes from which DI line is on top, and conviction comes from the height of the ADX line.

When to use it

- As a regime filter: take trend-following signals only when ADX confirms a trending market, and stand aside (or switch to range tactics) when it does not.
- To confirm breakouts: a breakout accompanied by a rising ADX has directional strength behind it; one with a flat ADX is more likely to fail.
- To read directional bias from the **+DI/–DI** crossovers.
- To detect a maturing trend: an ADX that rolls over from a high reading warns that trend strength is fading.

Quick start

1. Open a chart and click the bar-chart icon in the top-left corner to open the **Indicators** panel.
2. Click **Indicators** to open the full **Indicator List**.
3. Search for "Average Directional Index" and click **+** to add it — it opens in its own chart area under the price panel.
4. Click the gear icon next to the indicator to open its settings.

The default **Period** of 14 is the standard configuration and a sensible starting point on any timeframe. Give the ADX line and the two DI lines clearly distinct colors so crossovers read instantly.

[SCREENSHOT PLACEHOLDER] A price chart with the ADX indicator in a lower panel showing three lines — the ADX line rising during a trending move, with +DI above –DI — while the price panel above shows the corresponding uptrend
`dc-en-adx-01.png`

How to read it

- **ADX line height = trend strength.** By common convention, readings above roughly 25 indicate a trending market and readings below roughly 20 indicate a weak or sideways market; the zone between is ambiguous. These thresholds are conventions, not rules — calibrate them to your instrument and timeframe.
- **ADX direction matters more than its level.** A rising ADX means the trend is strengthening; a falling ADX means it is weakening — even if price is still drifting in the trend direction.

- **ADX is direction-agnostic.** A strong downtrend produces a high ADX exactly like a strong uptrend. Read direction from the DI lines or from price itself.
- **DI crossovers**: +DI crossing above –DI signals bullish directional movement taking over; –DI crossing above +DI signals the bearish side. Crossovers are most meaningful when ADX is elevated or rising.

Settings reference

Parameters

Setting	What it does
Period	The period used for the ADX calculation. Default: 14. Shorter periods make the indicator react faster but whipsaw more; longer periods smooth the reading for higher-timeframe regime analysis.

Subgraphs

Setting	What it does
Line Color	Color of the main ADX line.
Line Style	Style of the ADX line (solid, dashed).
Line Width	Thickness of the ADX line.
Plus DI Color	Color of the Plus Directional Indicator (+DI) line.
Minus DI Color	Color of the Minus Directional Indicator (–DI) line.

[SCREENSHOT PLACEHOLDER] The ADX settings dialog showing the Period parameter set to 14 and the subgraph options for Line Color, Line Style, Line Width, Plus DI Color and Minus DI Color `dc-en-adx-02.png`

Tips and common mistakes

- **The most common mistake: reading ADX as direction.** A falling ADX during an uptrend does not mean "sell" — it means the trend is losing strength. Direction always comes from the DI lines or price structure.
- **ADX lags by design.** It is a smoothed derivative of smoothed inputs, so it confirms trends rather than predicting them. Use it to qualify signals from faster tools, not to generate entries on its own.
- **Low ADX is information, not absence of information.** A prolonged low-ADX stretch marks a range — the environment where mean-reversion tools like RSI work best and breakout entries fail most often.
- Pair it with the Donchian Channel or Super Trend: the channel or trend line supplies the entry logic, ADX supplies the "is it worth taking" filter.

Related articles

- Aroon Up/Down
- Aroon Oscillator
- Super Trend
- Donchian Channel
- Different Types of Input Data for Indicators
- How to Change the Layout of Indicators